The Congress's top priority, flowing from a plank it has championed over the last year or so, is to increase backward reservations. If the question of exceeding the 50 per cent cap is to be entertained, the SC has insisted on accurate data. Reddy states that the plan is to first gather data and then, as suggested by the apex court, pursue a constitutional amendment to expand reservations. "My government has passed a resolution in the cabinet demanding that the NDA government at the Centre take up a caste census across the country," he told the media in Mumbai last week. Recently, during his election campaign in Nagpur, Congress leader Rahul Gandhi promised that his party would 'break the 50 per cent reservation limit' and conduct a nationwide caste census if given the mandate. The Telangana survey incorporates safeguards, given that Bihar's original caste census had run into legal trouble and a similar initiative in Karnataka remains incomplete.

Analysts point out that the findings will provide a fresh perspective on the status of Telangana's households as well as its social and economic composition. "It may help the government go in for social re-engineering for electoral-political advantages in the long run," says Harathi Vageeshan, who teaches political science at NALSAR University, Hyderabad. In the short term, it may also help the Congress determine political quota in the upcoming local body polls. "In the run-up to the November 2023 assembly election, the party had promised to increase the BC reservations in local bodies from 23 per cent to 42 per cent and to implement 42 per cent quota for them in government civil construction and maintenance contracts," says Kiran Kumar Gowd, president, All India OBC Students Association.

An added advantage is that the survey could help Congress push for inclusion of caste as a category in the 2025 national census. The Telangana survey's outcome could set the stage for a new era of governance in India. ■

FPI EXIT

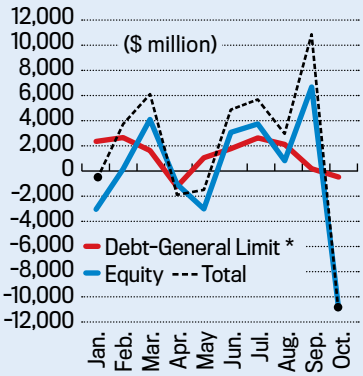
SWIFT CAPITAL FLIGHT

By M.G. Arun



Foreign portfolio investors (FPIs) pulled out $11.2 billion (Rs 94,536 crore) from Indian equity markets in October, the largest post-pandemic outflow. The record highs scaled earlier, with the BSE Sensex peaking at 85,930.43 during intra-day trade on September 26, swerved downhill in October as Indian equities posted their first monthly loss in four months, with the Sensex and Nifty 50 down 2.7 per cent each. On November 13, the Sensex fell 984.23 points to close at 77,690.95

FPI MONTHLY NET FLOWS IN 2024



*Money leaving debt funds, such as debt mutual funds, due to balance sheet build-up, tight liquidity situations or corporate redemptions

Source: NSDL





WHY FPIs ARE WITHDRAWING

China's stimulus: Funds have surged into China following the People's Bank of China's recent liquidity-boosting measures. In September, it cut interest rates and injected $143 billion into the banking system by lowering reserve requirements. It also eased share buybacks and expanded borrowing options

Policy uncertainty: The Reserve Bank of India has kept key rates steady to rein in inflation, yet there is a need to boost growth. But with retail inflation hitting a higher-than-expected 6.2 per cent in October, a rate cut in December appears unlikely

Safer havens: The Russia-Ukraine war and Israel's attack on Gaza, with a potential escalation threat, have prompted FPIs to choose safer havens

Trump factor: US President-elect Donald Trump's potential aggressive trade policies have led to further strengthening of the dollar against the rupee, raising fears of further outflows

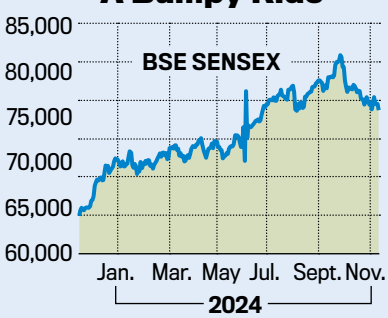
Earnings slump: Underperformance of Indian companies has raised concerns about their growth prospects. Over half of the 44 firms in the blue-chip Nifty 50 have missed or barely met earnings estimates, per LSEG data

'Overheated' stocks: Many believe the Indian stock markets are overvalued, with a certain amount of 'froth' in segments like the small- and medium-scale units

CALM OR CRASH?

Experts expect the volatility in markets to continue into next year, though long-term outlooks remain hopeful. "India is expected to remain the fastest-growing for some time. There are fundamentals at play.... People are generally bullish about our economy," says Nilesh Shah, MD, Kotak Mahindra Asset Management Company

A Bumpy Ride



Source: BSE